

But the report for the next year, 1938, showed, first, that Cushman's had earned the preferred dividend deduction, and secondly, that two unprofitable retail plants (in Philadelphia and Chicago) had been closed. Subject to further investigation, therefore, the analyst might well infer that the subsidiary's losses were nonpermanent in nature and that the reported results for 1934–1937 are to be viewed with this point in mind.

Example B: Lehigh Coal and Navigation Company. This enterprise has derived its income from various sources, chief of which has been the lease of its railroad property to the Central Railroad of New Jersey for an annual rental of \$2,268,000. Its next largest holding consists of anthracite coal mines, which since 1930 have been operated at a loss. In 1937 this loss was equivalent to about 90 cents per share of Lehigh stock. As a result the company reported a *consolidated* net loss of \$306,000 for the year, as contrasted with a profit on a parent-company basis only of \$1,125,000, or 64 cents per share.

But in this case the analyst could not safely make the assumption that the Lehigh stock was not worth *less* by reason of its ownership of the mining properties than it would be worth without them. Operation of the mines supplied an important tonnage to the railroad division. If the mines were shut down, the ability of the Jersey Central to pay the annual rental might have been critically impaired, especially since the lessee road had been doing poorly for some years past. (In fact the claim was later made by the Jersey Central that the Lehigh Coal and Navigation was obligated in connection with the lease to supply a certain tonnage from its coal properties). Hence, in this rather complicated set-up the investor could not safely go behind the consolidated results, including the losses of the anthracite subsidiary.

Example C: Barnsdall Oil Company. We have here a situation opposite from the other two. Barnsdall Oil owned both refining and producing properties, the latter profitable, the former unprofitable. In 1935 it segregated the refineries (and marketing units) in a separate company, of which it distributed the common stock to its own stockholders, retaining, however, the preferred stock and substantial claims against the new company. In 1936–1938 the refineries and stations continued to lose; Barnsdall Oil advanced considerable sums to cover these losses and wrote them off by charges first against capital surplus and then against earned surplus. On the other hand, its *income account*, freed from the burden of